4.17
Reducing costs

Business Builder
Teacher Resource Series

Worksheet

You work for a medium-sized manufacturing company. You make high-quality office furniture. Foreign competitors have recently entered your market. You must reduce costs urgently to make your company more competitive. You have to make savings of 50 currency units. A firm of consultants has suggested some possible savings in a report which is summarized below.

A Study the consultants' recommendations.

B Prepare to have a meeting. Choose which department/s you will represent (you may have to combine roles) and read your own role-notes. There will be a neutral President.

C Have a meeting to decide how to reduce your costs by 50 currency units. Balance the desire to protect your own department with the need to assist the company.

Consultants' recommendations

Department	Staff	Estimated savings (units)	
Production and Operating	30	• better quality control to reduce waste and defects	**10**
		• save energy	**5**
		• better maintenance of machines	**5**
		• freeze investment in new equipment	**10**
		• reduce inventories (stocks) of finished goods	**10**
Marketing	6	• reduce advertising budget	**15**
		• reduce market research into new product ideas	**5**
Sales	12	• reduce entertaining and travel costs	**10**
Human Resources	2	• increase salaries by 2% less than the rate of inflation	**15**
		• cut staff in all departments	**5 units per person**
		• change staff cars every four years instead of every two years	**10**
		• reduce training budget	**5**
Accounts	6	• reduce receivables (money owed by customers)	**10**
		• pay suppliers later	**10**
		• delay upgrade of computers	**5**
		• reduce dividend to shareholders	**5**

Role-notes

President	You are neutral and will chair the meeting. Start by asking everybody in turn to describe the situation from their point of view.
Production and Operating	You think the suggested savings for quality control and reducing inventories are exaggerated.
Marketing	Reducing the advertising budget won't help. In fact it will make the situation worse.
Sales	It is vital to keep good relationships with customers, and your sales team needs to take them out to lunch occasionally.
Human Resources	If you give a small salary increase you risk losing skilled workers. The training budget is an investment for the future.
Accounts	You think the figures for improving cash-flow are exaggerated. You want to keep the good relationship you have with suppliers.